

FORM TP 2009109

TEST CODE **01240020**

MAY/JUNE 2009

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 02 – General Proficiency

2 hours

28 MAY 2009 (a.m.)

Answer the THREE questions in Section I and TWO questions in Section II as indicated.

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SECTION I

Answer the **THREE** questions in this section.

1. (a) State TWO reasons why an individual may want to establish a business. (4 marks)
- (b) Outline THREE ways in which residents may benefit from having a business located in their community. (6 marks)
- (c) State THREE ways in which a planned economy is different from a free market economy. (6 marks)
- (d) Identify TWO benefits that a business will enjoy by converting from a partnership to a private limited company. (4 marks)

Total 20 marks

2. Mrs Greenwood is the owner of Refreshing Water, a bottled water business. In the last month, she has been having mechanical problems at the factory and as a result has not been able to meet time or quantity demands.
- (a) Define the term 'entrepreneurship'. (2 marks)
- (b) Explain ONE way in which Mrs Greenwood could use her entrepreneurial skills to solve the problem at Refreshing Water. (3 marks)
- (c) Outline THREE reasons why Mrs Greenwood may have decided to open her own business. (6 marks)
- (d) Identify THREE **unethical** practices in which Mrs Greenwood could engage to ensure that she does not lose business. (3 marks)
- (e) Outline THREE consequences of **unethical** practices in business. (6 marks)

Total 20 marks

3. (a) (i) Explain what is meant by the term 'market research'. (2 marks)
- (ii) Outline THREE reasons why businesses should conduct market research. (6 marks)
- (b) State TWO ways by which hotels may promote sales during the off-season. (4 marks)
- (c) Outline FOUR factors that may influence consumer behaviour in purchasing a cellphone. (8 marks)

Total 20 marks

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SECTION II

Answer TWO questions in this section as indicated.

Answer EITHER Question 4 OR Question 5. Do NOT answer both.

4. (a) Define EACH of the following terms:
- (i) Migration
 - (ii) Labour supply (4 marks)
- (b) Identify FOUR factors that affect the labour supply of a country. (4 marks)
- (c) Outline TWO ways in which migration may affect the labour supply of
- (i) the country from which workers migrate
 - (ii) the country to which workers migrate. (8 marks)
- (d) Differentiate between production and productivity. (4 marks)

Total 20 marks

5. Mary-Jo has recently lost her job as a supervisor of a department store. She has been awarded a reasonable redundancy package and needs to live on a carefully monitored budget.
- (a) Define the term 'personal budgeting'. (2 marks)
 - (b) Outline TWO ways in which Mary-Jo could benefit from budgeting. (4 marks)
 - (c) The following saving options are available to Mary-Jo:
 - (i) Credit unions
 - (ii) Commercial banks
- State ONE advantage and ONE disadvantage of EACH saving option to Mary-Jo. (8 marks)
- (d) Mary-Jo wants to use some of her redundancy money to invest in the stock market or to purchase a house.
- (i) Describe the role of the stock market. (2 marks)
 - (ii) Outline ONE advantage and ONE disadvantage of EITHER investing in the stock market OR purchasing a house. (4 marks)

Total 20 marks

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Answer EITHER Question 6 OR Question 7. Do NOT answer both.

6. (a) Define the term 'human resource development'. **(2 marks)**
- (b) Outline THREE ways in which human resource development can affect the economic growth and development of Caribbean countries. **(6 marks)**
- (c) Discuss the effect of EACH of the following economic problems on Caribbean countries:
- (i) Migration
 - (ii) Economic dualism **(6 marks)**
- (d) Outline THREE ways in which the Caribbean Development Bank can assist in reducing the economic problems of Caribbean countries. **(6 marks)**

Total 20 marks

7. (a) State ONE function of EACH of the following economic institutions:
- (i) World Trade Organization (WTO)
 - (ii) European Union **(4 marks)**
- (b) State THREE benefits that Caribbean countries may enjoy from being members of CARICOM. **(6 marks)**
- (c) Outline TWO ways by which the development of the manufacturing sector can assist in reducing the economic problems of Caribbean countries. **(4 marks)**
- (d) (i) Define the term 'foreign direct investment' (FDI). **(2 marks)**
- (ii) Outline TWO ways in which foreign direct investment can contribute to the economic growth of a country. **(4 marks)**

Total 20 marks

END OF TEST